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Audit overview

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Types of Audits

- **Annual audits**
  - 2 CFR 200 Subpart F
- **US Government financial audits**
- **US Government performance audits**

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When are annual audits required?

US-Based Organizations

- 2 CFR 200.501
- Expenditure of $750,000 in USG funds in a fiscal year

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When are annual audits required?

Non-US Based Organizations

- Standard Provision M2 for non-US Organizations
- Expenditure of $750,000 in USG funds in the organization's fiscal year
- Audit firm must be on USAID's approved list

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Question

Audits

Which of these organizations would require an audit?

- A non-US based organization that received a subaward from a US organization and spent $850,000 in USAID funds in its last fiscal year?
- A non-US organization that received a $1,000,000 award from USAID and spent $500,000 in its last fiscal year?

Reference: Mandatory Standard Provisions Non-US Organizations No. M2 Audits, accounting, records

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Annual audits for all organizations include:

- Allowable and unallowable activities and costs
- Internal controls
- Cash management
- Equipment and real property management
- Matching, level of effort, earmarking
- Period of availability of funds
- Procurement and suspension and debarment
- Program income
- Reporting
- Subrecipient monitoring
- Special tests and provisions

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Audit Reports

- Financial/fund accountability statements
- Internal controls
- Compliance with laws, internal policies and procedures, regulations and provisions of grants, cooperative agreements, and contracts
- Indirect cost rate if the organization has a negotiated rate

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USG Financial Audits

- What is a financial audit?
  - ✓Allowable spending
  - ✓Compliance with regulations and award terms and conditions
  - ✓Internal controls
- Who conducts a financial audit?
  - ✓Office of Inspector General (OIG) staff, audit firms with OIG oversight
  - ✓USAID's Contract Audit and Support Division at the request of the Agreement Officer

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USG Performance Audits

- What is a performance audit?
  - ✓Evaluation of effectiveness or results of a program
  - ✓Compliance with legal and other requirements
  - ✓Evaluation of economy and efficiency of USAID project
- Who conducts a performance audit?
  - ✓Office of Inspector General staff
  - ✓Other US government staff as needed

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How does USG Financial/ Performance Audit differ from Annual Audit?

- It can be initiated based on:
  - ✓OIG's risk assessment
  - ✓USAID concerns (AOR, Agreement Officer, other USAID staff)
- What is the message to you?

Your office/program might have been noticed in a negative light

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USG Financial and Performance Audits

- PHONE HOME!!!!
- Why is headquarters support and guidance needed?
  - ✓Limited field experience handling such audits
  - ✓Supporting documentation may be spread between headquarters and project office
  - ✓Represents a high risk to any organization

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How to Survive an Audit

- Understand the scope of the audit during the entrance conference
- Answer the exact questions the auditors ask
- Respond promptly to their requests
- Keep a record or copy of all documentation provided to the auditor
- Don't argue an auditor's interpretation of the rules even if you do not agree with them, but try to understand their position
- During the exit conference ensure you have a clear understanding of the findings, if any
- A happy auditor is "usually" a friendly auditor

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Common Audit Findings	Solutions
Inadequate documentation of employee compensation charged to the award	Start using timesheets NOW. Set up pre-audit quality control review
Lack of monitoring of subrecipients	Do risk evaluations and monitor with knowledgeable staff. Use monitoring as capacity building
Inadequate expense documentation	Aggressively pursue an original receipts regime
Prior approvals are lacking	Plan ahead! Request prior approvals well in advance.
Pre-award costs were incurred	No expenses incurred before the start date without a pre-award authorization
Inconsistent application of costs between USAID and non-USAID	Ensure USAID is charged only its fair share. No unfair allocations
Cost share/match falls short of targets/requirements	Create a cost share data capture and monitoring plan

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Please post questions in the discussion section

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